

OREGON ACCOUNTING MANUAL

Statewide Policy

NUMBER: 45.06.00

SUBJECT: Payroll: Sick Leave Balances at Retirement

EFFECTIVE DATE: 08/07/2026

POLICY OWNER: Office of the State Controller | Oregon Statewide Payroll Services (OSPS)

DIVISION: Chief Financial Office

LAST REVIEWED DATE: 08/07/2026

SUPERSEDES: Policy # 45.06.00 (03/01/2007)

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REFERENCE/AUTHORITY:

- ORS 238.350
- ORS 238A.130
- OAR 459-017-0060

APPROVED BY:

Kate Nass, Chief Financial Officer | Approval on File

Statement

This is the state's policy on sick leave balances at the time of retirement.

Applicability

This policy applies to all state agencies that are subject to the Oregon Accounting Manual (OAM), as outlined in [OAM 01.05.00, Introduction: Scope and Applicability](#). If any provisions of OAM policies or procedures conflict with collective bargaining agreements, the provisions of collective bargaining agreements would supersede OAM guidance.

Definitions

Employer agency: The state agency who employs staff in the exempt, unclassified, classified, and management service providing personnel services to the employer.

Refer to [OAM 65.00.00, Glossary](#) for definitions.

Policy

Disposition of Sick Leave Upon Retirement

101. When a PERS Tier 1 or Tier 2 state employee retires, the **employer agency** shall report all accumulated unused sick leave to PERS. As of the effective date of retirement, all sick leave will be considered ‘used’ for employees who receive retirement benefits based on the full formula, money match, and formula plus annuity calculations. Thereafter, the unused sick leave is no longer available to a retiree who is reemployed or rehired, in any appointment or position, by the state. For OPSRP employees, refer to paragraph 103.
102. This provision applies to all unused sick leave hours that are reported to PERS for retirees described in 101. Under no circumstances can the reported hours be restored to a PERS Tier 1 and Tier 2 retiree, regardless of the specific retirement option elected by the individual (including disability retirement) or the type of appointment or position filled upon reemployment or rehire. For OPSRP employees, refer to paragraph 103.
103. Paragraphs 101 and 102 do not apply to Oregon Public Service Retirement Plan (OPSRP) retirees. Under ORS Chapter 238A.130, unused sick leave is not used by the Public Employees Retirement System (PERS) as the part of the OPSRP retirement calculation and may be reinstated to eligible employees. Refer to State HR policy 60.000.01, *Sick Leave with Pay*.
104. At retirement, an employee’s sick leave balances shall:
 - a. Remain in their time off balance for up to two years for OPSRP retirees, OR
 - b. Be adjusted to zero for Tier 1 and Tier 2 retirees.

Correcting an Overpayment

105. An **employer agency** that discovers it has restored sick leave hours to a rehired retiree described in paragraph 101, must take the following steps:
 - a. Determine if an employee is eligible for any temporary sick leave or regular sick leave upon rehire and update the employee’s balance as needed.
 - b. Communicate with the employee and the employee’s manager about the necessary updates to correct their sick leave balances.

- c. If an erroneous overpayment of wages has occurred for paid use of sick leave the employee was ineligible for, refer to [OAM 45.50.00, Collection of Overpayment of Wages](#), on how to collect the overpayment from the employee.